

Organizational Systems — Module 02: Agents —

Discussion Questions

Mix of analytical and applied questions for business professionals. Questions 1–10 are analytical; Questions 11–20 are applied.

Analytical Questions

1. In what sense does an organization "have goals" differently from a person? How does Active Inference formalize this distinction between individual and organizational agency?
2. If corporate agency emerges from distributed individual agency, who or what is the "agent" that minimizes free energy at the enterprise level? Is it the CEO, the board, the strategy team, or something more distributed?
3. The Wells Fargo cross-selling scandal illustrates what happens when local incentives (branch-level precision allocation) diverge from enterprise goals. Using the Active Inference framework, explain why this is a fundamental tension and not merely a management failure.
4. Compare two organizational designs: a tightly centralized firm where the CEO makes all major decisions, and a radically decentralized firm where autonomous teams make local decisions. Analyze the trade-offs using the concept of distributed agency.
5. How does the concept of "roles as inference specialization" change how you think about hiring? What would it mean to hire for optimal coverage of the organizational inference task rather than for traditional job descriptions?
6. Organizational drift — gradually losing strategic identity — is common in mature firms. Using Active Inference, explain the mechanism: why does the generative model fail to update even when the environment changes?

7. How do mergers create conflicts of organizational agency? When Company A acquires Company B, there are now two "agents" with different generative models, preferred states, and action tendencies. What must change for a single coherent agent to emerge?
 8. Explain how **groupthink** can be understood as excessive precision on prior beliefs. What role does diversity of perspective play in preventing this failure mode?
 9. Why might a startup exhibit stronger organizational agency than a large corporation, despite having far fewer resources? Frame your answer in terms of model coherence, preference clarity, and action capacity.
 10. Incentive structures function as precision allocators. Design a thought experiment showing how the same employee would behave very differently under two different incentive structures — one that allocates precision to short-term revenue and one that allocates precision to customer lifetime value.
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Applied Questions

1. Use the "Coherent Agent Diagnostic" from the module to rate your own organization or team. Where did you score lowest? What specific intervention could raise that score?
2. Map the **roles** in your organization to the inference tasks they perform. Create a table with columns: Role, What It Senses, What Model It Maintains, What Actions It Takes. Identify any gaps — are there aspects of the environment that no role is responsible for sensing?
3. Describe a recent decision in your organization. Trace how the decision moved through the distributed agency structure — from the individual who first noticed the issue, through the team that analyzed it, to the executive who authorized action. Where did friction or delay occur?
4. Your organization's incentive structure currently rewards individual performance. Propose a redesign that would better align local and enterprise-level agency. What metrics would you track? How would you prevent gaming?

5. Think of a time when your organization experienced "analysis paralysis." Using the Active Inference framing (high uncertainty → all policies have similar expected free energy → no selection), propose a mechanism that could have resolved the deadlock.
6. A new CEO joins your company and immediately begins changing the organizational generative model — new strategy, new values, new metrics. Some employees embrace the change; others resist. Analyze this situation in terms of competing generative models and the cost of model switching.
7. Design a 90-minute workshop for your leadership team on "Your Organization as an Agent." What are the 3 most important insights from this module that you would want them to internalize? How would you make the concepts tangible?
8. Many companies describe their "purpose" or "mission" as a statement on a wall. Under Active Inference, purpose corresponds to the organization's preferred states. Evaluate whether your organization's stated purpose actually functions as its preferred states, or whether the real preferred states (what the org actually optimizes for) diverge.
9. Consider a platform company like Uber. Who is the "agent" — Uber the corporation, the drivers, the riders, or the algorithm? Using the nested agency framework, explain how multiple levels of agency interact and sometimes conflict.
10. Propose a new organizational role — a "Chief Inference Officer" — whose job is to ensure the coherence of the organizational agent. What would this person's responsibilities be? What information would they need access to? How would they differ from a Chief Strategy Officer?